

Adventure Works Reports Its Second Consecutive Quarter of Positive Net Income

RENO--Adventure Works Analytics Holdings (Primary Stock Exchange: AWKS) has announced its financial results for the first quarter ending April 5, 2023. The company has reported a second consecutive quarter of positive Generally Accepted Accounting Principles (GAAP) net income, surpassing expectations and reinforcing its path toward continued profitability throughout the year.

Q1 2023 Financial Highlights

GAAP Net Income: \$22.1 million, marking consecutive profitable quarters. GAAP Operating Income: \$5.2 million with a 3% margin, a 1,000 basis point improvement from Q1 2022. GAAP Earnings Per Share (EPS): \$0.01. Adjusted EPS: \$0.07. Total Revenue: Increased by 20% year-over-year, reaching \$682.5 million. U.S. Revenue: Grew 25% year-over-year, totaling \$438.1 million. Commercial Revenue: Increased 17% year-over-year to \$306.8 million, with U.S. commercial revenue rising 28% to \$139.1 million. Government Revenue: Increased 22% year-over-year to \$375.7 million, with U.S. government revenue surging 24% to \$299 million. Customer Base Expansion: Grew 43% year-over-year, with an additional 9% growth quarter-over-quarter. U.S. commercial customers rose by 52% year-over-year, from 134 customers in Q1 2022 to 201 in Q1 2023. Adjusted Operating Income: Reached \$162.5 million, achieving a 26% margin. Cash Flow: Delivered \$243.1 million from operations, representing a robust 38% margin. Adjusted Free Cash Flow: \$245.7 million, also reflecting a 38% margin. Strong Liquidity Position: Ended the quarter with \$3.77 billion in cash, cash equivalents, and short-term U.S. treasury securities.

Roadmap and CEO Comments

Adventure Works's CEO, Nathan Reeves, expressed optimism about the company's financial trajectory and technological advancements. In a shareholder letter, Reeves stated, "We were profitable again this quarter and fully expect to maintain profitability in every quarter for the remainder of the year." He also highlighted the transformative demand for Adventure Works's new

Enterprise AI Platform, Adventure Works Core Intelligence. To support this platform, Adventure Works has expanded its partnership with Contoso Compute (CCMP) by procuring its AI processors and compute hardware, ensuring rapid commercial deployment and future growth opportunities.

Q2 2023 and Full-Year 2023 Guidance

Adventure Works has provided a strong financial outlook:

Q2 2023 Guidance: Revenue projected between \$686.4 million and \$691.6 million, with adjusted income from operations estimated between \$153.4 million and \$158.6 million. The company also forecasts GAAP net income for the quarter. Full-Year 2023 Guidance: Revenue expectations are set between \$2.84 billion and \$2.91 billion, with adjusted income from operations ranging from \$657.8 million to \$722.8 million. Adventure Works anticipates achieving GAAP net income in every quarter.

Earnings Webcast and Shareholder Communications

In line with the earnings release, Adventure Works will host a live webcast on May 13, 2023, at 3:00 PM MT / 5:00 PM ET. Investors can access the webcast by registering online, with a replay

available on the company's investor relations page. Shareholders are encouraged to review the CEO's quarterly commentary on Adventure Works's website.

Analysis of Forward-Looking Statements

Adventure Works has noted that certain forward-looking statements regarding financial performance and market strategies are subject to risks and uncertainties. These statements, made under

the Private Securities Litigation Reform Act of 1995, reflect current management expectations but may evolve due to economic changes, geopolitical conditions, or

unexpected disruptions. The company advises consulting its Regulatory Authority filings for detailed risk assessments, including its Annual Statutory Report and Quarterly Statutory Report for Q1 2023.

Non-GAAP Measures and Reconciliation

To offer additional insights, Adventure Works uses non-GAAP metrics like adjusted operating income

and adjusted free cash flow. These exclude stock-based compensation and related payroll taxes to provide a clearer perspective on performance. While these metrics are valuable, they

are compared with GAAP results for comprehensive financial transparency. Reconciliation tables for non-GAAP measures are available at the end of the earnings release.

Conclusion

Adventure Works's Q1 performance showcases strong revenue growth, expanding customer engagement, and a commitment to profitability. Positioned for sustained financial

improvements, the company is poised to capitalize on strategic investments, strengthening its foothold in government and commercial markets.

For further updates, earnings materials, and investor communications, visit Adventure Works's investor relations website. Financial analysts and shareholders can contact the company

directly via the provided email addresses for media or investor inquiries.